

Before continuing, I should clarify what I mean by \$10,000 per year. This estimate assumes that today's prices on which you based your needs will remain the same throughout retirement. In other words, it assumes that the inflation rate for goods and services will be zero for the next 30 years. Rather unrealistic, I'm sure you'd agree. True, inflation has averaged less than 3% almost every year since 1991. But there is no guarantee that the rate will not increase.

Indeed, economic history teaches us that price inflation can resurface suddenly and dramatically. And of course, as I discussed in Chapter 5, "Personal Inflation and the Retirement Cost of Living," the projected inflation rate for retirees might be higher than the general inflation rate for the population at large. Think of the cost of geriatric medical care over the years.

Therefore, a better way to deal with long-term planning (given inflation uncertainty) is to budget and state your needs in real, after-inflation terms. At the same time, you must also project your investment returns in real, after-inflation terms. Let me explain.

As I said earlier, you essentially want to consume \$10,000 of today's dollars for the rest of your life. By real consumption, I mean that you will consume \$10,000 in your 65th year, \$10,000 adjusted by the first year's inflation rate in your 66th year, \$10,000 adjusted by the first and second years' inflation rate in your 67th year, and so on. So for example, if the inflation rate for these three years was 2%, 3%, and 4% respectively, then you would consume \$10,000 in your 65th year, $\$10,000 \times (1 + 0.02)$ in your 66th year, and $\$10,000 \times (1 + 0.02) \times (1 + 0.03)$ in your 67th year.

However, to keep things in balance, when I talk about what invested money can earn, I will look at returns in after-inflation terms as well, to account for the fact that your needs were expressed in the same framework.

Ideally, the pension payments come with some form of inflation protection—or indexing—as well. The indexing can be implicitly tied to the consumer price index (CPI), or implicitly tied to the performance of some investment fund.

Practically speaking, the easiest way to get at the \$10,000 that you will need each year (about \$833 per month) is to set up a systematic withdrawal plan that sells an appropriate number of stocks, mutual